

<u>Year</u>	<u>Cash Flow</u>	<u>Discounted Cash Flows</u>
0	-\$2,000	
1	\$375	
2	\$375	
3	\$375	
4	\$375	
5	\$375	
6	\$375	
7	\$375	
8	\$375	
9	\$375	
10	\$375	

Question 1

Calculate the Net Present Value assuming a required return of 10%

Question 2

Calculate the Profitability Index assuming a required return of 10%

<u>Year</u>	<u>Cash Flow</u>	<u>Discounted Cash Flows</u>
0	-\$2,000	
1	\$375	
2	\$375	
3	\$375	
4	\$375	
5	\$375	
6	\$375	
7	\$375	
8	\$375	
9	\$375	
10	\$375	

<i>Present Value of Cash Inflows</i>	
<i>Present Value of Cash Outflows</i>	
<i>Profitability Index</i>	